

Guidelines and Circulars issued by SEBI and the Stock Exchanges from time to time. Any such clause introduced in the existing as well as new documents shall stand null and void.

- 20.4. The client will now be required to sign only on one document i.e. Account Opening Form. Further, in the same form, the client shall continue to put his signatures instead of saying 'yes' or 'tick mark' while indicating preferences for trading in different exchanges / segments, in accordance with existing requirements. However, in case the investor wants to avail Running Account facility, execute Power of Attorney, Demat Debit and Pledge Instruction²⁸ etc., he would have to give specific authorization to the stock broker in order to avoid any dispute in the future. The client would also be required to give acknowledgement of Most Important Terms and Conditions (MITC).
- 20.5. In order to ensure that clients are permitted to access all the stock exchanges in which the stock brokers are registered for the same segment, the format of "Trading Preferences" has been standardized as specified at Para C of [Annexure-8](#).
- 20.6. All stock brokers are mandated to register their new clients on all the active stock exchanges after obtaining the trading preferences as per the aforementioned format. For existing clients, the stock brokers are mandated to offer them access on all the active stock exchanges for the segments already opted by them, as a default mode, within three months from the effective date of the circular and inform their respective clients through email / SMS. Clients shall be given a choice to opt out of such access by providing negative consent in this regard. Further, the stock brokers shall activate / deactivate the segments based on the preference of the clients.
- 20.7. The aforementioned format of "Trading Preferences" shall not be made applicable to members registered exclusively with commodity derivatives exchanges. Such members shall use the format as prescribed by the erstwhile Forward Markets Commission (FMC) vide its circular no. FMC/COMPL/IV/KRA-05/11/14 dated February 26, 2015.
- 20.8. The opting out facility should be provided to new as well as existing clients, and negative consent should be obtained separately from clients in writing. Stock brokers shall be mandated to maintain records of such written negative

²⁸ Reference: Circular SEBI/HO/MIRSD/DoP/P/CIR/2022/44 dated April 04, 2022.

consent provided by the clients for at least five years.

- 20.9. The aforementioned provisions at para 20.5 and 20.6 shall also be applicable to the clients registered in accordance with SEBI Circular No. SEBI/HO/MIRSD/DOP/CIR/P/2020/73 dated April 24, 2020.
- 20.10. With regards to compliances related to MITC, as stated in para 20.1.6 and para 20.4 above, the date of implementation shall be as follows:
- 20.9.1 For onboarding of new clients, the date of the implementation and compliance by the market participants shall be April 01, 2024.
- 20.9.2 For existing clients, the MITC shall be informed to clients via email or any other suitable mode of communication (which can be preserved) by June 01, 2024.
- 20.11. In case the stock broker is also a depository participant, he can use the same KYC form (as specified at para [20.1.2.1](#) above) for basic details and take additional information pertaining to demat account.
- 20.12. Stock Broker shall make available these standard documents to the clients, either in electronic or physical form, depending upon the preference of the client as part of account opening kit. The preference of the client shall be sought as part of the account opening form. In case the documents are made available in electronic form, stock broker shall maintain logs of the same.
- 20.13. Stock Exchanges / stock brokers shall continue to make the documents mentioned in para [20.1.3 to 20.1.5](#) above, available on their website and keep the clients informed about the same.
- 20.14. Further, with a view to bring about uniformity in securities markets, the KYC form at para [20.1.2.1](#) above and supporting documents shall also be used by Depository Participants, Mutual Funds, Portfolio Managers, Collective Investment Schemes and Venture Capital Funds. The KYC form shall be filled by an investor at the account opening stage while dealing with any of the above intermediaries. Additional details specific to the area of activity of the intermediary being obtained now but not covered in the KYC form shall also be obtained from the investors in Part II of the account opening form.

21. Nomination for Eligible Trading Accounts²⁹

- 21.1 Submission of 'choice of nomination' for trading accounts has been made voluntary as a step towards ease of doing business.
- 21.2 In line with Section 72 of Companies Act, 2013 on nomination by a holder of securities, investors opening new trading account(s) may have the choice of providing nomination or opting out nomination, as follows;
- a. The format for nomination form is given in [Annexure-12](#) to this circular
 - b. Opt out of nomination through 'Declaration Form', as provided in [Annexure-13](#) to this circular.
- 21.3 The nomination and Declaration form shall be signed under wet signature of the account holder(s) and witness shall not be required. However, if the account holder(s) affixes thumb impression (instead of wet signature), then witness signature shall be required in the forms.
- 21.4 The on-line nomination and Declaration form may also be signed using e-Sign facility and in that case witness will not be required.
- 21.5 Trading Members shall ensure that adequate systems are in place including for providing for e-Sign facility and also take all necessary steps to maintain confidentiality and safety of client records.
- 21.6 Existing investors who have not submitted nomination details till date and intend to submit their nomination or opt out of nomination (not to nominate any one) may also be allowed to do so by way of two factor authentication (2FA) login on the internet trading platform for Stock Brokers providing such services.
- 21.7 Stock Brokers shall encourage their clients to update 'choice of nomination' by sending a communication on fortnightly basis by way of emails and SMS to all such UCCs wherein the 'choice of nomination' is not captured. The communication shall provide guidance through which the client can provide his/her 'choice of nomination'.
- 21.8 Re-submission of nomination details shall be optional for the existing investors

²⁹ Reference: Circular SEBI/HO/MIRSD/RTAMB/CIR/P/2021/601 dated July 23, 2021, Circular SEBI/HO/MIRSD/MIRSD_RTAMB/P/CIR/2022/23 dated February 24, 2022, Circular SEBI/HO/MIRSD/MIRSD-PoD-1/P/CIR/2023/42 dated March 27, 2023 and SEBI/HO/MIRSD/POD-1/P/CIR/2023/158 dated September 26, 2023.